

# Chain of reasoning

Edexcel A-Level Economics · Exam technique · Class notes

## 1. What a chain of reasoning is

A chain of reasoning is a series of linked steps where each one causes the next, running from a starting point to the answer the question wants. Analysis marks reward showing *how* you get to an effect, not just naming it.



### Weak: a statement

Economies of scale lower costs.

### Strong: a chain

Buying materials in bulk earns a discount, so the cost per unit falls, so long-run average cost falls. The firm can then cut price and keep the same profit per unit, so it becomes more competitive and its demand rises.

Aim for at least three linked steps in each analysis paragraph. If you could replace "so" between two steps with "and also", it is a list, not a chain.

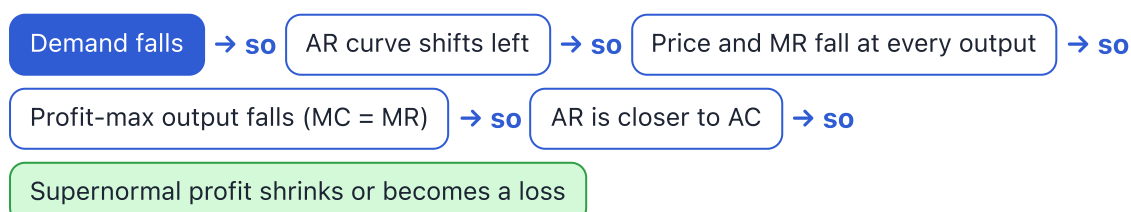
## 2. Building a chain: six steps

1. **Start with the trigger.** What changes, or what is the action? A cost rise, a merger, a tax, a fall in demand.
2. **Ask "so what happens to...?"** Move to the first direct effect in economics terms: costs, revenue, price, output, demand, wages.
3. **Keep asking "and so?"** Link each effect to the next variable. Stop at something the question cares about: profit, efficiency, consumers, workers, the government.
4. **Anchor it.** Pull a figure, firm or fact from the extract into the chain where it fits (application).
5. **Say the direction.** Rises or falls, more or less. "Affects" and "impacts" lose marks.
6. **Check the last link answers the question.** If the question asks about consumers, the chain must end at consumers.

**Linking words:** which means, so, therefore, this leads to, as a result, which causes, this reduces / increases, meaning that, in turn, because of this.

## 3. Worked example

**Question:** Analyse how a fall in demand might affect a firm's profits. (6)



For a higher mark, tie it to the extract (the firm's sales fall from X to Y) and draw the shifted AR and MR curves. For a 25-mark essay, add a chain on the other side and evaluate: the effect depends on the size of the fall, how much of the cost is fixed, and short run versus long run. If AR stays above AVC the firm keeps producing in the short run.

## 4. Common errors

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### Jumping

"Minimum wage rises, so unemployment rises." Missing: labour costs rise, so marginal cost rises, so profit-max output falls, so less labour is demanded.

### Listing

Separate effects with no link between them. Each should come from the one before.

### Repeating the question

"Costs rise, so costs go up."

### Vague direction

"This affects profit." Say whether it rises or falls, and why.

### No context

A perfect chain with no reference to the case study caps the application mark.

### Wrong end point

The chain finishes at a different variable from the one the question asks about.

## 5. Chains inside a 25-mark essay

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1. Definitions
2. Analysis: one chain (micro or macro effects)
3. Evaluation of that chain
4. Analysis: a second chain (the opposite of paragraph 2)
5. Evaluation of that chain
6. Judgement that weighs the two

Evaluate a chain by testing one link: "this might not happen because there is no spare capacity", "it depends on the elasticity", "short run versus long run". Weak links are the easiest to challenge.

## Practice

Build a chain of at least four links for each. Underline the link that answers the question.

1. Analyse how a merger between two supermarkets might affect consumers. (6)
2. Analyse how a rise in the price of raw materials might affect a firm's profit-maximising output. (6)
3. Analyse how diseconomies of scale might affect a growing firm. (6)

[illegible]